Post-midterm escalation threatens prices above $110

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Prices likely to rise above $110 amid expected November escalation

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The US is likely to escalate against Iran after the midterm elections on 3 November, pulling oil prices into a higher band of $110-$125.
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Middle East flows are falling due to aggressive Iranian attacks, which are likely more frequent than data suggest.
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Despite US eagerness for a deal, Russian diesel exports are likely to remain suppressed amid ongoing Ukrainian attacks.

Prices likely to rise as escalation risk in the Middle East increases. Eurasia Group expects the US to escalate against Iran following the November midterm elections (see: Hormuz attacks likely to compel US escalation after midterms , 15 October 2026). Oil prices are likely to rise into a $110-$125 per barrel band for Brent in the event escalation occurs. Prices moved in that direction last week, with the front month nearing $110 on Friday.

Iranian attacks are pulling Middle East flows down. Following a high point in late September, when regional flows exceeded 18 million barrels per day (bpd), with 14 million bpd moving through the Strait of Hormuz, Middle East flows have fallen as Iran ratchets up its strikes on shipping. There have been more than two dozen attacks since late September, with Iran sinking two ships and damaging many more. Declining regional flows are a key factor in compelling the US to escalate.

There are probably more attacks on ships than data would suggest. Data on ship attacks is incomplete, with the UK Maritime Trade Operations (UKMTO) Centre acknowledging that not all ship attacks are reported. This means that the UKMTO count of 25 attacks since 28 September is likely an undercount.

Russian diesel exports unlikely to recover. Despite pressure from the US to resume diesel exports ahead of the US midterm elections, Russian output of refined products remains constrained due to continued Ukrainian attacks. Even if the US-Russia diesel deal moves forward, the volumes cited—300,000 tons in a month, or approximately 74,000 bpd—are small and are unlikely to move prices in the US or EU. Before the current drop, Russia was exporting 500,000 bpd of diesel on average.

Chinese crude imports spiked in October, suggesting more upward pressure on prices. While Chinese oil demand is unlikely to return to its prewar peak (see: Chinese oil demand has peaked , 16 October 2026), data suggest a recovery in import volumes for October, with the first two weeks of the month showing an average of 9 million bpd. If Chinese imports continue to recover, it would add more pressure on prices, as suppressed Chinese imports have been a significant source of relief for markets this year (see: Beijing is likely to become the biggest variable in oil pricing , 29 June 2026).

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